

1 **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2 STATE OF OKLAHOMA

3 2nd Session of the 60th Legislature (2026)

4 COMMITTEE SUBSTITUTE
5 FOR ENGROSSED
6 SENATE BILL NO. 1346

By: Woods of the Senate

and

Newton of the House

8
9
10 COMMITTEE SUBSTITUTE

11 [water and water rights - Water and Wastewater

12 Infrastructure Investment Program - rule

13 promulgation - priority scoring - clawback -

14 publication - codification - effective date -

15 emergency]

16
17
18 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

19 SECTION 1. NEW LAW A new section of law to be codified
20 in the Oklahoma Statutes as Section 1085.66 of Title 82, unless
21 there is created a duplication in numbering, reads as follows:

22 A. 1. The Oklahoma Water Resources Board shall establish and
23 administer a Water and Wastewater Infrastructure Investment Program.
24 The program shall include development of competitive loans for

1 eligible entities seeking to develop and implement water or
2 wastewater improvement projects. The Board shall promulgate rules
3 to effectuate the provisions of this act and loan criteria for the
4 program.

5 2. Loan applications shall be ranked on criteria including, but
6 not limited to, the critical nature of the project, available
7 financing for the project, conservation and fiscal sustainability
8 efforts as demonstrated by participation in or completion of the
9 Long Range Sustainability Program administered by the Oklahoma Rural
10 Water Association, and pledge of matching funds, either through the
11 entity or a third-party source.

12 3. For the purposes of this section, "eligible entity" or
13 "eligible entities" means an eligible entity as defined pursuant to
14 Section 1085.32 of Title 82 of the Oklahoma Statutes.

15 B. All loans authorized pursuant to the provisions of this act
16 shall include a clawback provision in the funding agreement with an
17 eligible entity. For purposes of this subsection, a "clawback
18 provision" shall mean a condition precedent to participate in the
19 program whereby a loan recipient agrees in writing, signed by all
20 parties, to reimburse the program all or any part of the loan
21 disbursed to the recipient upon the failure of the recipient to
22 fulfill loan contract terms.

23 C. The Board shall create and publish an interactive map on the
24 Board's website displaying critical infrastructure needs and

1 proposed projects to be completed pursuant to the provisions of this
2 act. The map shall also display the status of proposed and approved
3 projects, estimated completion dates, and any other information
4 deemed necessary by the Board.

5 SECTION 2. NEW LAW A new section of law to be codified
6 in the Oklahoma Statutes as Section 1085.67 of Title 82, unless
7 there is created a duplication in numbering, reads as follows:

8 A. 1. There is hereby created in the State Treasury a
9 revolving fund for the Oklahoma Water Resources Board to be
10 designated the "Water and Wastewater Infrastructure Investment
11 Revolving Fund". The fund shall be a continuing fund, not subject
12 to fiscal year limitations, and shall consist of all monies
13 appropriated to the fund by law. All monies accruing to the credit
14 of the fund are hereby appropriated and may be budgeted and expended
15 by the Board for the purposes provided in this act. The Board may
16 enter into contracts with financial institutions and execute such
17 instruments as may be necessary to hold and disseminate loan funds
18 in accordance with applicable regulations and Board policies.

19 2. Notwithstanding any other provisions of law, income and
20 investment return on fund principal and interest income and
21 repayment of principal on loans made from the balance of the fund
22 shall accrue to the fund.

23 B. 1. The Board shall have full discretion of all monies
24 within the fund for enhancements, leveraging, and reserve capacities

1 for the Board loan and grant programs, system evaluation and risk
2 assessment assistance, and long-range infrastructure planning.

3 2. The Board may reserve up to two percent (2%) per year from
4 the fund for the purpose of administering the Water and Wastewater
5 Infrastructure Investment Program. Any remaining funds may be
6 allocated to satisfy the purposes of paragraph 1 of this subsection.

7 SECTION 3. This act shall become effective July 1, 2026.

8 SECTION 4. It being immediately necessary for the preservation
9 of the public peace, health or safety, an emergency is hereby
10 declared to exist, by reason whereof this act shall take effect and
11 be in full force from and after its passage and approval.

12
13 COMMITTEE REPORT BY: COMMITTEE ON ENERGY AND NATURAL RESOURCES
14 OVERSIGHT, dated 04/14/2026 - DO PASS, As Amended.
15
16
17
18
19
20
21
22
23
24